

G4

Marketing Landscape

Group 9

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Market Research

Google Analytics Findings:

The primary age group for online grocery shoppers falls between 25 to 45 years old. This demographic likely represents individuals who are comfortable with technology and are balancing work, family, and other responsibilities, making the convenience of online grocery shopping appealing to them. There has been a notable shift towards using apps for grocery shopping rather than visiting physical stores. This trend indicates the increasing reliance on smartphones and digital platforms for everyday tasks, including shopping for essentials like groceries. In Manitoba, there has been a significant increase in the preference for in-store pickup of online grocery orders. Several reasons contribute to the preference for online grocery shopping:

- 1) Variety of Options: Online platforms offer a wide range of products from various brands, providing consumers with more choices compared to traditional brick-and-mortar stores.
- 2) Price Comparison: Online shoppers can quickly compare prices across different brands or retailers, enabling them to make more informed purchasing decisions and potentially find better deals.
- 3) Convenience of Delivery: The ability to schedule delivery times makes online grocery shopping convenient for busy individuals who may not have the time to visit physical stores.
- 4) Discounts and Offers: Online platforms often provide discounts, offers, and loyalty programs, incentivizing consumers to shop online and potentially save money.
- 5) Easy Return and Cancellation Policies: Online grocery stores typically have flexible return and order cancellation policies, offering consumers peace of mind and the flexibility to adjust their orders as needed.

Trend Analysis Outcomes:

The Canadian grocery market is undergoing significant transformations driven by changing consumer habits, demographics, and technological advancements. Key trends include:

- 1) Online Sales Growth: Online grocery shopping has surged post-pandemic, particularly among younger consumers. Delivery services are reducing the advantage of physical stores.
- 2) Demographic Shifts: Pickup orders have become more popular among employed, higher-income, and homeowners.

- 3) **Brand Loyalty:** Canadians exhibit strong brand loyalty, often shopping from the same stores or brands both in-store and online. Loyalty programs are widely used but face challenges from increased competition and wider product choices.
- 4) **Increased Competition:** Non-traditional outlets like dollar stores and pharmacies are expanding their grocery offerings, while e-commerce giants like Amazon and third-party apps like Instacart are reshaping the market. Established retailers are enhancing delivery services to compete.

Based on a survey nearly one-quarter (22.2 per cent) of Canadians plan to buy online regularly, while ordering online for curbside/in-store pick-up is also gaining momentum.

Industry Reports and Insights:

There has been a great impact of the pandemic on the growth of online grocery delivery services in Canada, which is expected to continue shaping consumer behaviour in the coming years. Key points include:

- 1) **Pandemic Accelerated Growth:** The pandemic led to a surge in online grocery shopping, with a substantial increase in spending among Canadians, driven by the convenience and safety offered by delivery services.
- 2) **Shift in Consumer Habits:** Work-from-home arrangements and concerns about in-store experiences during COVID-19 have led to more people adopting online grocery shopping as their default method. This shift is expected to continue even as the world has returned to normal.
- 3) **Expansion of Delivery Services:** Companies like Uber have expanded into the online grocery market, with delivery services becoming a significant portion of their business. There's a focus on diversifying offerings beyond prepared meals, with grocery essentials seeing increased demand.
- 4) **Investment and Competition:** Major companies like Walmart, Empire, and Amazon are heavily investing in e-commerce capabilities and expanding delivery infrastructure to capitalize on the growing online grocery market. Start-ups and established companies are competing to capture market share, leading to aggressive investment and innovation.
- 5) **Future Trends:** Forecasts suggest that online channels will continue to grow, potentially accounting for a significant portion of the food-at-home market by 2030. Fast delivery services are emerging as a niche but potentially impactful segment, catering to consumers' demand for instant gratification.

Overall, the online grocery sector is aiming for significant growth and competition, with traditional retailers and new entrants struggling for a share of the expanding market.

SWOT Analysis

Strength
● Innovative Technology: Provide real-time grocery price comparisons, enhancing shopping efficiency. ● User Experience: Offers an intuitive and user-friendly interface, making it easy for customers to navigate and use the app. ● Price Accuracy: Strong focus on providing accurate and comprehensive pricing data from multiple stores. ● Customization: Personalized shopping lists and recommendations based on user preferences and shopping history.
Weakness
● Limited Market Penetration: As a new entrant, Grocer Ai may have limited recognition and user base compared to established competitors. ● Dependency on Store Participation: The app's effectiveness hinges on the participation of grocery stores and their willingness to share pricing data. ● Resource Constraints: Being a new player, there might be limited resources for marketing, development, and scaling.
Opportunities
● Growing Market for Online Shopping: The increasing trend towards online grocery shopping presents a significant opportunity for growth. ● Partnerships with Grocery Stores: Collaborating with grocery stores could enhance the app's features and provide mutual benefits. ● Expansion of Services: Adding features such as meal planning, nutritional information, or grocery delivery services could attract a broader user base. ● Data Analytics Services: The data collected can be utilized to offer insights to retailers and brands.
Threats
● Competition: The presence of established competitors with similar offerings poses a significant threat. ● Changing Market Dynamics: Rapid changes in consumer behavior and technology can make it challenging to stay relevant. ● Data Privacy Concerns: Handling user data necessitates stringent privacy policies and security measures to maintain user trust. ● Dependency on External Platforms: Reliance on third-party platforms (like app stores) for distribution can be a vulnerability.

Competitive landscape - A Competitive analysis for Grocer Ai

Identified competitors:

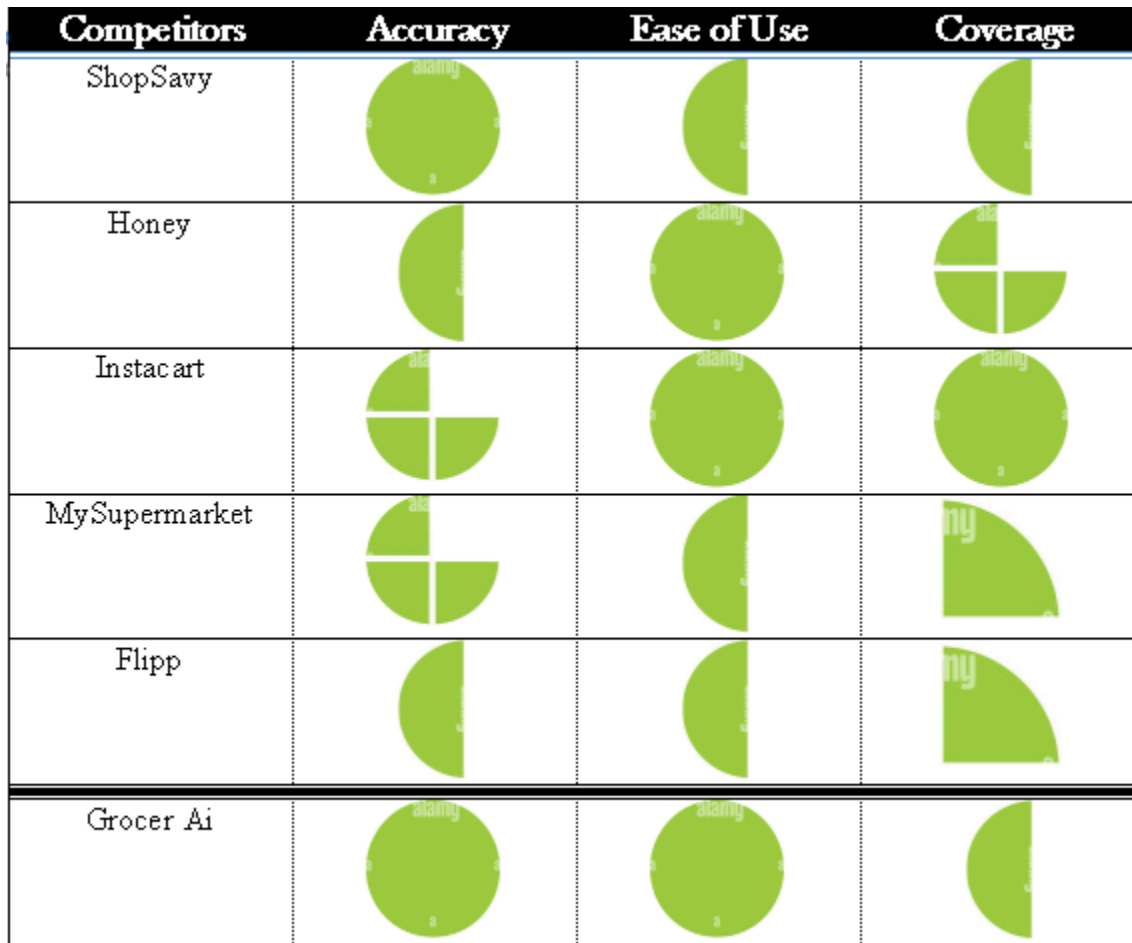
1. **ShopSavvy** : ShopSavvy is a mobile app that allows users to scan barcodes and compare prices across various retailers, both online and in-store. Its broad database and user-friendly design make it a direct competitor in the price comparison space.
<https://shopsavvy.com/>
2. **Honey**: Known mainly for its coupon-finding capabilities, Honey also offers price comparison features through its app and browser extension. Competes indirectly in online shopping assistance, including grocery items.
<https://www.joinhoney.com/>
3. **Instacart**: Instacart provides grocery delivery and pickup services with an option to compare prices within its network of stores. A key player in the online grocery shopping market, offering both convenience and price comparison.
<https://www.instacart.ca/>
4. **MySupermarket**: This tool offers a comprehensive approach to shopping and price comparison for groceries. Appeals to the same target audience as "Grocer Ai," focusing on grocery price comparison.
<https://www.mysupermarketcompare.com/>
5. **Flipp**: Flipp aggregates weekly shopping flyers from various retailers, allowing users to find the best deals and create shopping lists. Although it's more flyer-centric, Flipp's focus on deals and savings in the grocery sector makes it a relevant competitor.
<https://flipp.com/>

Comparison Criteria:

- 1) **Accuracy**: How accurate is the data? Is the comparison shown in the app based on real time data? Can the users trust the data shown in the app?
- 2) **Ease-of-Use / UI & UX**: Is it easy to use and navigate? Can users use the app with peace of mind? Or will they get frustrated using the app?

- 3) **Coverage:** Does the app show a wide range of products from various retailers?
Are users shown a lot of choices for an item?

Visualization in a Moon Chart:



Reflection on Positioning:

- **Price Accuracy and Range**

Current Positioning: "Grocer Ai" is positioned strongly in this area, potentially offering more accurate and comprehensive price data than competitors.

Reflection: This strength could be a major selling point for price-conscious consumers. Maintaining and enhancing this feature should be a priority to stay competitive and appealing to the target market.

- **User Experience and Interface**

Current Positioning: "Grocer Ai" also excels in user experience and interface, suggesting an intuitive, easy-to-use app.

Reflection: This is crucial for user retention and satisfaction. Continual updates and improvements based on user feedback can help in keeping the interface fresh and ahead of competitors.

- **Additional Features and Services**

Current Positioning: "Grocer Ai" is in the middle range in this criterion, suggesting some additional features are present, but not as extensive as some competitors.

Reflection: While the core focus of "Grocer Ai" is on price comparison and grocery shopping assistance, exploring additional services like grocery delivery partnerships, meal planning, or nutritional information could enhance its value proposition. This could help in targeting a broader audience and differentiating from competitors who might not offer these services.

References:

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